

CASE STUDY #1 — TELECOM

5G Commercial Tariff Pricing Strategy

Introduction

The client is one of the largest telecom operators in India, with a pan-India presence and an extensive 4G subscriber base. It has recently completed a significant phase of its 5G infrastructure rollout across more than 500 cities, but has not yet introduced a dedicated commercial 5G tariff plan.

With increasing investments in spectrum acquisition, network infrastructure, and operational capabilities, management wants to determine an appropriate pricing strategy before the nationwide commercial launch of 5G plans.

Background

The Indian telecom market is largely a duopoly. The client's primary competitor has also expanded its 5G network to more than 450 cities but has not yet announced dedicated 5G plans, leaving the market without established pricing benchmarks.

The client must arrive at a price for its first 5G data + unlimited voice plan while simultaneously balancing customer adoption, profitability, and long-term market positioning — with no direct precedent to anchor against.

Approach: Hybrid Pricing Strategy (Cost-Based + Value-Based)

The client adopted a hybrid pricing approach, using value-based pricing as the primary method and cost-based pricing as a validation floor.

- **Cost-Based Pricing (validation floor):** determine the minimum sustainable price by factoring in spectrum costs, infrastructure, operations, maintenance, marketing spend, and a target profit margin. This ensures recovery of 5G investment but does not reflect what customers are actually willing to pay.
- **Value-Based Pricing (primary method):** determine the final market price based on the incremental value 5G delivers — higher speeds, lower latency, improved reliability, and richer digital services. With no competitor benchmark available, this is the most defensible pricing lens.
- **Tiered Launch Pricing:** launch affordable, tiered 5G plans in the ₹499–₹1,299/month range to lower the adoption barrier for the mass 4G base while still segmenting for heavier users.

Expected Impact

- Encourages rapid migration of the existing 4G base onto 5G, accelerating network monetization.
- Improves ARPU progressively as customers move up the tiered plan structure over time.
- Recovers 5G infrastructure investment through volume-led adoption rather than relying on high initial tariffs that could suppress uptake.
- Establishes the client as the price-setter in a market with no existing 5G tariff benchmark, shaping competitor response.

Final Note

By anchoring price to customer-perceived value rather than cost alone, and validating that price against a sustainable cost floor, the client can launch 5G tariffs that drive adoption without leaving money on the table — a critical balance in a market entering commercial 5G pricing for the first time.

Questions for Discussion

- In the absence of a competitor benchmark, how should a company decide between pricing aggressively for share versus pricing high for margin?
- What risks does the client take on by being the first mover in setting the market's 5G price anchor?

- How should the tiered pricing structure evolve once the competitor eventually announces its own 5G tariffs?